AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Administration

FIN301-F
Financial & Securities Markets
Version B

Final Examination
Fall 2025-2026

10 – January – 2026

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinatio
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Solve All questions

Question 1: (30 marks)

a) Suppose the rate on a corporate bond is 7% and the rate on a municipal bond is 3.5%. Which should you choose? Your marginal tax rate is 28%.

b) Tech solution Inc. is trading at $40.00 per share. The latest annual dividend distributed was $2. Using the Gordon Growth Model, if the market demands a return of 15%, what is the expected dividend growth rate for Tech solution Inc.?

Question 2: (40 marks)

a) Compute the required monthly payment on a $65,000 30-year, fixed-rate mortgage with a nominal interest rate of 4.80%. How much of the payment goes toward principal and interest during the first year? Provide an amortization schedule till the 12th year.

b) Jason bought a put option on a $100,000 Treasury bond futures contract with an exercise price of 105 for a premium of $2,000. If on expiration the futures contract sells for 110, determine Jason's profits and explain if he will exercise the right to sell the futures contract. How would your answer change if the futures contract sells for 95 on expiration?

Question 3: (30 marks)

Explain the characteristics of common stock and preferred stock ownership?

End of Questions

Answer

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Formulas

Tax-free rate= taxable interest rate × (1 – marginal tax rate)

$$P_0 = \frac{D_0(1+g)}{k_e - g}$$

$$P = \frac{r(PV)}{1-(1+r)^{-n}}$$

$P = Payment$
$PV = Present\ Value$
$r = rate\ per\ period$
$n = number\ of\ periods$

$$\frac{\Delta P}{P} = -\text{Duration} \times \frac{\Delta i}{1+i}, \quad \text{or} \quad \text{Duration} = -\frac{1+i}{\Delta i} \times \frac{\Delta P}{P}$$

$$i_c = \mathbf{C} / \mathbf{P}$$

Equivalent tax-free rate (ETFR)= (1-MTR)

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